Tentative Rulings for August 19, 2026
Department 403

For any matter where an oral argument is requested and any party to the hearing desires a remote appearance, such request must be timely submitted to and approved by the hearing judge. In this department, the remote appearance will be conducted through Zoom. If approved, please provide the department's clerk a correct email address. (CRC 3.672, Fresno Sup.C. Local Rule 1.1.19)

There are no tentative rulings for the following cases. The hearing will go forward on these matters. If a person is under a court order to appear, he/she must do so. Otherwise, parties should appear unless they have notified the court that they will submit the matter without an appearance. (See California Rules of Court, rule 3.1304(c).) ***The above rule also applies to cases listed in this "must appear" section.***

25CECG03077 ***Kathryn Aranzasu v. Central Unified School District —***
Counsel Darshni Manish Gala is to appear.

20CECG01307 ***Leavitt v. Zart Transmission***

The court has continued the following cases. The deadlines for opposition and reply papers will remain the same as for the original hearing date.

(Tentative Rulings begin at the next page)

Tentative Rulings for Department 403

Begin at the next page

(20) **<u>Tentative Ruling</u>**

Re: ***Gallegos v. JEM Restaurant Management Corp.***
Superior Court Case No. 25CECG05858

Hearing Date: August 19, 2026 (Dept. 403)

Motion: Demurrer to Complaint and Motion to Strike Punitive Damages

Tentative Ruling:

To sustain the demurrers to the fifth and sixth causes of action, with leave to amend. (Code Civ. Proc., § 430.10, subd. (e).)

To grant and strike the prayer for punitive damages from the Complaint at paragraphs 38, 46, 62, 60, 66, and paragraph 4 of the prayer for relief, with leave to amend. (Code Civ. Proc., § 436.)

Plaintiff may amend file an amended Complaint within 10 days of service of the order by the clerk. All new allegations shall be in **boldface** type.

Explanation:

Plaintiff Guillermina Gallegos sues her former employer JEM Restaurant Management Corp. ("JEM"), a franchise of Wendy's Hamburgers and Kentucky Fried Chicken that operates restaurants. Plaintiff had been employed with JEM since 1992, promoted through the ranks to Vice President of Operations. Plaintiff asserts a variety of causes of action arising from her employment:

1. Retaliation in Violation of Labor Code § 1102.5;
2. Retaliation in Violation of Labor Code 98.6;
3. Retaliation in Violation of the FEHA;
4. Sex Discrimination in Violation of the FEHA;
5. Sex Harassment in Violation of the FEHA;
6. Disability Discrimination in Violation of the FEHA; and
7. Failure to Engage in Timely, Effective, Good Faith Interactive Process to Provide a Reasonable Accommodation

JEM now demurs to causes of action 5-7 only and moves to strike the punitive damages allegations.

Demurrer

Fifth Cause of Action

Plaintiff alleges sexual harassment in violation of Government Code §12940(j)(1), which provides that it is an "unlawful employment practice" for "an employer ... because of ... sex ... to harass ... an employee." "To establish a prima facie case of a hostile work environment, [plaintiff] must show that (1) she is a member of a protected class; (2) she was subjected to unwelcome harassment; (3) the harassment was based on her protected status; (4) the harassment unreasonably interfered with her work performance by creating an intimidating, hostile, or offensive work environment; and (5) defendants are liable for the harassment. (*Thompson v. City of Monrovia* (2010) 186 Cal.App.4th 860, 876 …)" (*Ortiz v. Dameron Hospital Assn.* (2019) 37 Cal.App.5th 568, 581.)

FEHA regulations define harassing conduct to include, verbal harassment (e.g., obscene language, demeaning comments, slurs, or threats), physical harassment (e.g., unwanted touching or interference with movement), visual harassment (e.g., offensive posters, objects, cartoons, or drawings), unwanted sexual advances, and other derogatory or offensive communications, including photographs, text messages, and internet postings. (See Cal. Code Regs., tit. 2, § 11019, subd. (b)(2); see also CACI No. 2523.) A single incident of "harassing conduct" can support a hostile work environment claim in appropriate circumstances, i.e., "if the harassing conduct has unreasonably interfered with the plaintiff's work performance or created an intimidating, hostile, or offensive working environment." (Gov. Code, § 12923, subd. (b).)

"Harassment is distinguishable from discrimination under the FEHA. '[D]iscrimination refers to bias in the exercise of official actions on behalf of the employer, and harassment refers to bias that is expressed or communicated through interpersonal relations in the workplace.'" (*Serri v. Santa Clara University* (2014) 226 Cal.App.4th 830, 869.) Management decisions "may retrospectively be found discriminatory if based on improper motives, but in that event the remedies provided by the FEHA are those for discrimination, not harassment." (*Roby v. McKesson Corp.* (2009) 47 Cal.4th 686, 707, quoting *Reno v. Baird* (1998) 18 Cal.4th 640, 645–47.)

The Complaint's allegations sound in discrimination based on gender, not harassment. Plaintiff alleges increased duties, exclusion from meetings, denial of resources, workload allocation, and operational disputes. (Complaint ¶¶56–58, 64.) These are official employment actions—personnel and management decisions that may support a discrimination claim under Government Code section 12940(a) if motivated by improper bias, but not harassment under section 12940(j).

Plaintiff takes the position that behavior that communicates that the plaintiff was not welcome in the workplace constitutes harassment. But she cites to no authority for this proposition. If that were the case, an employer saying "you aren't wanted here" would constitute hostile workplace harassment. Plaintiff reaches too far by trying to caste the facts as sexual harassment.

Plaintiff already alleges discrimination based on gender in the fourth cause of action.[1] Therefore, while the fifth may sufficiently allege discrimination, it is duplicative of the fourth cause of action. The demurrer is sustained. The court will grant leave to amend since this is the first iteration of the Complaint, but the facts simply do not appear to support a workplace harassment claim.

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[1] A demurrer is properly sustained as to a duplicative cause of action which provides no greater recovery. (*Award Metals, Inc. v. Superior Court* (1991) 228 Cal.App.3d 1128, 1135-1136.)

Sixth Cause of Action for Disability Discrimination

"To establish a prima facie case of mental disability discrimination under FEHA, a plaintiff must show the following elements: (1) She suffers from a mental disability; (2) she is otherwise qualified to do the job with or without reasonable accommodation; and (3) she was subjected to an adverse employment action because of the disability." (*Higgins-Williams v. Sutter Medical Foundation* (2015) 237 Cal.App.4th 78, 84.)

Plaintiff alleges that she "had a diagnosed psychological, consisting of depression and anxiety. This condition limited a major life activity in that it made the achievement of the major life activities of working difficult. JEM in that [sic] Plaintiff had taken time off work – one time a month, and another time several weeks because of her psychological condition, for which leaves JEM had required Plaintiff to fill out Workers' Compensation forms." (Complaint ¶ 69.) "Plaintiff requested the accommodation of being excused from making a trip to Phoenix because of her psychological condition." (Complaint ¶ 70.) "JEM refused this accommodation. JEM failed to engage in a timely, good-faith, interactive discussion about a possible accommodation. As a result, Plaintiff felt that she had no choice but to resign from employment with JEM." (Complaint ¶ 71.)

The Complaint fails to plead facts to establish the third element – an adverse employment action. "Adverse employment actions" are those that "materially and adversely affected the terms, conditions, or privileges of [the plaintiff's] employment," including such actions as termination, demotion, refusal to promote, negative job evaluations, reductions in staff or responsibilities, job reassignments, denial of training or advancement opportunities, and involuntary administrative leave. (CACI No. 2509; see *Yanowitz v. L'Oreal USA, Inc.* (2005) 36 Cal.4th 1028, 1054.)

Here, plaintiff simply alleges failure to allow a single requested accommodation – to not make a business trip. She does not allege an actual adverse employment action tied to her alleged disability. None of the employment actions alleged in the Complaint are tied at all to plaintiff's alleged disability.

Plaintiff contends that the adverse employment action was plaintiff's constructive discharge. However, characterizing a denied travel-related request as "the straw that broke the camel's back" does not establish objectively intolerable working conditions because of disability. That is the only action alleged regarding plaintiff's disability. The demurrer is sustained on the ground that plaintiff fails to plead an adverse employment action taken *because of her disability* or working conditions so intolerable *because of her disability* that a reasonable person would have had no reasonable alternative but to resign.

Seventh Cause of Action for Failure to Engage in the Interactive Process

It is an unlawful employment practice "to fail to make reasonable accommodation for the known physical or mental disability of an applicant or employee" unless the employer demonstrates doing so would impose an undue hardship. (Gov. Code, § 12940, subd. (m).) It is an unlawful employment practice "[f]or an employer … to fail to engage in a timely, good faith, interactive process with the employee or applicant to determine effective reasonable accommodations, if any, ***in***

response to a request for reasonable accommodation by an employee or applicant with a known physical or mental disability or known medical condition." (Gov. Code, § 12940, subd. (n), emphasis added.) The reasonableness of a job accommodation is a question of fact. (*Nealy v. City of Santa Monica* (2015) 234 Cal.App.4th 359, 374.)

Here, plaintiff alleges that she requested the accommodation of being excused from making a trip to Phoenix because of her diagnosed psychological condition of depression and anxiety. (Complaint ¶¶ 76, 77.) JEM refused this accommodation and failed to engage in a timely, good-faith, interactive discussion about a possible accommodation, forcing plaintiff to resign. (Complaint ¶ 78.) These allegations are sufficient to allege failure to engage in the interactive process.

JEM asserts that plaintiff's allegation that defendant "refused" her request does not establish that defendant failed to engage in the interactive process. JEM ignores the allegation in the same sentence that JEM "failed to engage in a timely, good-faith, interactive discussion about a possible accommodation …" (Complaint ¶ 78.)

JEM argues, "Plaintiff fails to identify any reasonable accommodation. Her only request was to be excused from the Phoenix franchise meeting entirely, which is not an accommodation but a request to be relieved of a job duty (Complaint at ¶24.) Plaintiff does not allege that she requested a modified travel schedule, remote participation, reassignment of that specific obligation, or any other modification that would have enabled her to perform the function (i.e., attending a franchise meeting). Nor does she allege facts showing Defendant was aware of any further reasonable accommodation that was needed but ignored." (MPA 10:22-27.)

However, plaintiff states that she requested an accommodation, which JEM refused, and JEM failed to engage in the interactive process to determine if there was any effective accommodation. At the pleading stage the allegations are sufficient.

JEM's arguments regarding the timing of evens fails to show that the cause of action lacks merit. (See MPA p. 11.) The question is whether plaintiff alleges sufficient facts to show that JEM failed to engage in the interactive process. That she has done. That plaintiff resigned or took leave shortly after the failure to accommodate, allegedly constructively discharged from the cumulative effect of JEM's actions and conduct towards plaintiff, does not negate the failure to engage in the process. The demurrer to this cause of action should be overruled.

Motion to Strike

"The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading, (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." (Code Civ. Proc., § 436.) A motion to strike may be used to remove a claim for punitive damages that is not adequately supported by the facts alleged in the complaint. (*Cryolife, Inc. v. Superior Court* (2003) 110 CalApp.4th 1145; *Kaiser Foundation Health Plan, Inc. v. Superior Court* (2012) 203 Cal.App.4th 696.)

Civil Code section 3294, subdivision (a) provides:

> In an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice, the plaintiff, in addition to the actual damages, may recover damages for the sake of example and by way of punishing the defendant.

Civil Code section 3294 was amended in 1987 to require a showing of despicable conduct as a predicate to the recovery of punitive damages. "Despicable conduct" is defined as conduct that is so vile, base or contemptible that it would be looked down on and despised by reasonable people."

> Used in its ordinary sense, the adjective "despicable" is a powerful term that refers to circumstances that are "base," "vile," or "contemptible." (4 Oxford English Diet. (2d ed. 1989) p. 529.) As amended to include this word, the statute plainly indicates that absent an intent to injure the plaintiff, "malice" requires more than a "willful and conscious" disregard of the plaintiffs' interests. The additional component of "despicable conduct" must be found. (Accord, BAJJ No. 14.72.1 (1992 Re-Rev.)); *Mock v. Michigan Miliers Mutual Ins. Co.* (1992) 4 Cal.App.4th 306, 331.)

(*College Hospital, Inc., v. Superior Court* (1994) 8 Cal.4th 704, 725.)

The addition of the criterial adjective "despicable" was a significant substantive limitation on the recovery of punitive damages (along with the elevation of the burden of proof), as it is a "powerful term." (*College Hospital, Inc. v. Superior Court* (1994) 8 Cal.4th 704, 725.) On the continuum of conduct, it is toward the extreme, eliciting adjectives such as vile or base and rousing the contempt or outrage of reasonable people. (*American Airlines, Inc. v. Sheppard, Mullin, Richter & Hampton* (2002) 96 Cal.App.4th 1017, 1050-1051.)

To recover punitive damages against a corporate employer, such as Defendant, a plaintiff must allege conduct by an officer, director, or managing agent within the meaning of Civil Code section 3294, subdivision (b). Managing agents are corporate employees who "exercise substantial independent authority and judgment over decisions that ultimately determine corporate policy." (*White v. Ultramar, Inc.* (1999) 21 Cal.4th 563, 566-567.) A supervisor is not a managing agent merely because they have authority to hire or fire employees. (*Id*. at p. 566; *Mazik v. Geico General Ins. Co.* (2019) 35 Cal.App.5th 455, 464.) Thus, a plaintiff must show that the employee exercised "substantial discretionary authority over significant aspects of a corporation's business." (*Mazik*, 35 Cal.App.5th at p. 464 citing *White, supra*.)

The motion is granted because the Complaint simply does not allege facts establishing any oppressive, fraudulent, or malicious conduct by JEM. While the Complaint identifies some persons who are likely managing agents, such as LH (President) or RB (Chief Facility Officer). But the Complaint does not allege facts showing that LH, RB, or any officer, director, or managing agent adopted policies or made decisions *with malicious, oppressive, or fraudulent intent*.

Plaintiff in the opposition characterizes the Complaint's allegations as a prolonged and calculated campaign of harassment, retaliation, and discrimination that subjected plaintiff to cruel and unjust hardship in conscious disregard of her rights.

That characterization is a bit overblown. The Complaint alleges routine employment decisions and managerial conduct, including a demotion, one failure to engage in the interactive process, increased workload, exclusion from meetings. The facts alleged simply do not rise to the level of malice, oppression, or fraud. Not every FEHA claim gives rise to punitive damages. (See *Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 64 [although the plaintiff alleged facts sufficient to state a FEHA gender-discrimination claim, those same underlying facts did not rise to the level of malice, oppression, or fraud required under Civil Code section 3294].) The motion to strike is granted with leave to amend, though again, plaintiff's counsel seems to be overreaching by trying to seek punitive damages in this case.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling
Issued By: SMC on August 18, 2026 .
(Judge's initials) (Date)

(03)

Tentative Ruling

Re: ***Salazar v. General Motors, LLC***
Case No. 24CECG05197

Hearing Date: August 19, 2026 (Dept. 403)

Motion: Defendant General Motors' Motion for Summary Judgment, or in the Alternative Summary Adjudication

Tentative Ruling:

To deny General Motors' motion for summary judgment, and the alternative motion for summary adjudication. (Code Civ. Proc., § 437c.)

Defendant's counsel, Austin Abernathy, is ordered to appear in person at the hearing and to bring a full copy of the case, *Sweetin v. County of Nevada* (2023) 89 Cal.App.5th 1041, cited on page 4 of the reply. Counsel must highlight all supporting language corresponding to the pinpoint citation attributed to pages 1052-1053.

Explanation:

GM has moved for summary judgment, or alternatively for summary adjudication of the separate causes of action, on the theory that it promptly offered to repurchase plaintiffs' vehicle soon after they complained about the vehicle's defects, and therefore plaintiffs cannot prevail on their causes of action under the Song-Beverly Act. (*Carver v. Volkswagen Group of America, Inc.* (2024) 107 Cal.App.5th 864, 878, citing Civ. Code, § 1793.2, subd. (d) (*Carver*).) However, GM has failed to meet its burden of showing that it made a repurchase offer that complied with the requirements of the Song-Beverly Act.

In *Niedermeier v. FCA US, LLC* (2024) 15 Cal.5th 792, the California Supreme Court held that a manufacturer's offer to repurchase a vehicle must strictly comply with the requirements of Civil Code section 1793.2, and cannot include any offsets that are not specifically enumerated under the statute, such as an offset for the trade-in value of the vehicle. (*Id*. at pp. 806-807.)

"[T]he Act's plain language lays out a specific formula for calculating the amount of restitution to be paid by the manufacturer as damages in an action pursuant to section 1794. The statutory restitution remedy has clearly enumerated exceptions, none of which includes the offset requested by FCA. [¶] Nowhere does section 1793.2 provide that a restitution award must be reduced by any amount a buyer receives when trading in or selling the defective vehicle to a third party." (*Ibid*, citations omitted.)

"As noted above, the statute excludes nonmanufacturer-installed options from the restitution calculation and permits the restitution award to be reduced by the amount of a buyer's predelivery use of the vehicle. The choice to include these exceptions, and no others, indicates that the Legislature intended to specify how restitution awards for new motor vehicles must be calculated, including limiting the number and type of offsets to those explicitly enumerated. The Legislature recognized there were multiple sources of potential offsets to the restitution remedy yet did not include trade-in credits or sales proceeds in the statute. The Legislature could have stated that trade-in or sale amounts were to be offset or reduced from the statutory restitution remedy. It did not do so. 'We will not create an exception the Legislature did not enact.'" (*Id.* at p. 807, citations and footnote omitted.) "The plain language of section 1793.2, subdivision (d)(2) does not contemplate an unenumerated reduction to the statutory restitution remedy for a trade-in credit or sale proceeds received after the purchase of a defective vehicle." (*Id.* at p. 810.)

Here GM's repurchase offer included an offset for negative equity of $6.011.35, which was apparently based on the trade-in value of plaintiffs' old vehicle. (Exhibits C and D to Jensen decl.) However, as the Supreme Court held in *Niedermeier*, GM was not allowed to include an offset for the trade-in value of the old vehicle as part of its repurchase offer because such an offset is not expressly allowed under the Song-Beverly Act. (*Niedermeier, supra*, at pp. 806-810.) By improperly including the offset for the trade-in value of the old vehicle, GM reduced the repurchase offer by over $6,000. Therefore, the repurchase offer did not comply with the Song-Beverly Act, and GM has not met its burden of showing that it is entitled to summary judgment or adjudication based on the fact that it made the offer.[2] Therefore, the court intends to deny the motion for summary judgment, and the alternative motion for summary adjudication of the separate causes of action.

Finally, the court orders defense counsel Austin Abernathy to appear in person and explain why he cited to a non-existent case in his reply brief. In the reply, GM claims that, "At the summary judgment stage, evidence need[] not be in trial-admissible form so long as it is reasonably capable of being presented in admissible form at trial. (*Sweetin v. County of Nevada* (2023) 89 Cal.App.5th 1041, 1052–53.)"

The court has been unable to locate the cited "*Sweetin*" case. Although GM's authority may be correct in the federal courts, that is not the standard in California. In California, "Supporting and opposing affidavits or declarations shall be made by a person on personal knowledge, shall set forth admissible evidence, and shall show affirmatively that the affiant is competent to testify to the matters stated in the affidavits or declarations. An objection based on the failure to comply with the requirements of this subdivision, if not made at the hearing, shall be deemed waived." (Code Civ. Proc., § 437c, subd. (d).)

Thus, defendant's reply brief materially misstates the law in California regarding evidence that is allowable on summary judgment. Defense counsel has also cited to an

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[2] After *Niedermeier* was decided, the legislature passed Code of Civil Procedure section 871.27, which added language that "[t]he defendant [manufacturer] is entitled to an offset for negative equity incorporated in the transaction from prior vehicles." (Code Civ. Proc., § 871.27, subd. (c).) However, section 871.27 did not become effective until January 1, 2025. There is no language in the statute that indicates that it was intended to be retroactive, so it is presumed to be prospective only. (Code Civ. Proc., § 3; *Myers v. Philip Morris Companies, Inc.* (2002) 28 Cal.4th 828, 840.)

Here, plaintiffs filed their lawsuit in the present case in December of 2024, shortly before the new statute was effective. Defendant also made its offer in November of 2024. Therefore, the new provisions of section 871.27 allowing the manufacturer to include an offset for the trade-in value of the plaintiffs' prior vehicle do not apply the GM's repurchase offer.

apparently non-existent case to support his argument. By citing to a non-existent case that is inconsistent with applicable California law, counsel has engaged in potentially unethical conduct by misrepresenting the law to the court and the opposing party. Therefore, the court orders counsel to appear and explain why he has cited to a non-existent case and misstated the law to the court. If he does not provide a satisfactory explanation, the court may impose sanctions against him.

Also, the court notes that Mr. Abernathy has previously submitted the same non-existent citation and misstatement of the law in another case that came before Judge Skiles earlier this month, *Ledesma-Luna v. General Motors, LLC,* case no. 24CECG05553. The hearing in *Ledesma-Luna* took place after the reply brief in the present case was filed, but the court is still concerned that Erskine Law and Mr. Abernathy have apparently filed multiple briefs in various cases that provide the same false and misleading citations and arguments. They also failed to withdraw the reply in this case, despite their promise to withdraw any misleading briefs at the last hearing. Therefore, the court will consider imposing sanctions on Mr. Abernathy for his repeated submission of false or misleading briefs in this court.[3]

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling
Issued By: SMC on August 18, 2026 .
(Judge's initials) (Date)

[3] The court will not rule on the parties' evidentiary objections because none are material to the disposition of GM's motion. (Code Civ. Proc., § 437c, subd. (q).) Furthermore, objections must be submitted in the proper format required by California Rules of Court, rule 3.1354 (filed separately, numbered consecutively, quoting the objectionable material, and clearly stating the grounds for objections). Here, the parties have not submitted properly formatted objections, so the court declines to rule on the objections.

(46)

Tentative Ruling

Re: ***Hrair Messerlian v. Service Employees International Union, Local 1000***
Superior Court Case No. 24CECG02860

Hearing Date: August 19, 2026 (Dept. 403)

Motion: by Plaintiff to Tax Costs

Tentative Ruling:

To deny.

Explanation:

The Motion is Untimely

"Any notice of motion to strike or to tax costs must be served and filed 15 days after service of the cost memorandum. If the cost memorandum was served by mail, the period is extended as provided in Code of Civil Procedure section 1013. If the cost memorandum was served electronically, the period is extended [by two court days] as provided in Code of Civil Procedure section 1010.6(a)(3)." (Cal. Rules of Court, rule 3.1700(b)(1), emphasis added.) The parties may agree to extend the time for filing, but this agreement must be confirmed in writing, specify the extended date for service, and be filed with the clerk. (*Id*., rule 3.1700(b)(3).)

Plaintiff failed to file the motion to tax costs within 15 days and the two additional court days for electronic service of the cost memorandum. No agreement between the parties extending the time to file was filed with the court. The court intends to deny the motion on this procedural basis.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling
Issued By: SMC on August 18, 2026 .
(Judge's initials) (Date)

(49)

<u>Tentative Ruling</u>

Re: ***Inglemon v. OnPoint Logistics, LLC***
Superior Court Case No. 24CECG05570

Hearing Date: August 19, 2026 (Dept. 403)

Motion: By Defendant OnPoint Logistics, LLC to Compel Individual Arbitration, Dismiss Class Claims, and Stay Proceedings

Tentative Ruling:

To grant the defendant's motion to compel arbitration in part and deny in part. To compel arbitration of plaintiff Thomas Inglemon's claims under Labor Code sections 1194, 1194.2 and 1197, as stated in the first cause of action, the second cause of action, under Labor Code section 512 under the third cause of action, the fifth cause of action, the sixth cause of action, the seventh cause of action, the eighth cause of action, and the individual PAGA claim stated in the ninth cause of action. To deny the motion to compel arbitration of the claim under Labor Code section 204 of the first cause of action, under Labor Code section 226.7 of the third cause of action, the fourth cause of action and ninth cause of action to the extent that it states a representative claim under PAGA.

To deny dismissal of the class action.

To stay the court action as to the denied claims until the arbitration has been resolved.

Explanation:

Defendant OnPoint Logistics, LLC ("Defendant") moves to compel arbitration against plaintiff Thomas Inglemon ("Plaintiff") based on a signed arbitration agreement.

Objections

Defendant's objections to portions of Plaintiff's deposition are overruled.

The Existence of an Arbitration Agreement

Pursuant to California Code of Civil Procedure, section 1281.2, "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for the revocation of the agreement. (c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact." (Civ. Proc. Code § 1281.2, paragraph breaks omitted.)

"[W]hen a petition to compel arbitration is filed and accompanied by prima facie evidence of a written agreement to arbitrate the controversy, the court itself must determine whether the agreement exists and, if any defense to its enforcement is raised, whether it is enforceable. Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence. If the party opposing the petition raises a defense to enforcement - either fraud in the execution voiding the agreement, or a statutory defense of waiver or revocation (see § 1281.2, subds. (a), (b)) - that party bears the burden of producing evidence of, and proving by a preponderance of the evidence, any fact necessary to the defense." (*Rosenthal v. Great Western Fin. Securities Corp*. (1996)14 Cal. 4th 394, 413.) Thus, in ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law guide the court in making this determination. (*Mendez v. Mid-Wilshire Health Care Center* (2013) 220 Cal.App.4th 534.) To determine whether there is an enforceable arbitration agreement, courts apply state law principles related to formation, revocation, and enforcement of contracts. (*Banner Entertainment, Inc. v. Alchemy Filmworks, Inc.* (1998) 62 Cal.App.4th 348, 357.)

Here, Defendant has met Defendant's burden of establishing the existence of an agreement to arbitrate the claims raised in Plaintiff's Complaint. Defendant provided an authenticated copy of the arbitration agreement. (Mohamed Decl., Exh. 2.) Defendant explains the onboarding process for Defendant, which includes the creation of a unique account for each individual. (*Id*., ¶¶ 5-9.) After creation of the account, the prospective employee is presented with a link to download an application, which requires them to log in with their unique credentials, which includes a copy of the arbitration agreement. (*Id*., ¶¶ 10-14.) The onboarding process requires that the entirety of the agreement be scrolled through before the new employee can indicate that they agree and accept it. (*Id*., ¶¶ 14-16.) Once the employee slects "I Agree and Accept" and "Continue", the agreement is recorded within Defendant's records. (*Id*., ¶¶ 17-18.) The onboarding software indicates which unique account number accepted the arbitration agreement. (*Id*., Exh. 2.) Plaintiff admits that, although he does not remember the arbitration agreement, he did participate in Defendant's onboarding process. (Inglemon Decl., ¶ 10.) However, aside from claiming a general lack of memory and stating he was rushed through the onboarding, Plaintiff neither contests that he executed the arbitration agreement, nor provides any evidence that he did not agree to its terms. (*Ibid*.)

Applicability of the Federal Arbitration Act

Defendant states and Plaintiff does not contest that Defendant's business involves interstate commerce. Defendant is a Delivery Service Partner for Amazon Logistics, Inc. ("Amazon"). (Mohamed Decl., ¶ 2.) Defendant employed delivery drivers that picked up Amazon packages from California warehouses that then delivered them locally. (*Ibid*.) Plaintiff, a delivery driver for Defendant, delivered packages ordered from Amazon which originated from all over the country. (*Id*., ¶¶ 2-3; Inglemon Decl., ¶¶ 2-4.)

Defendant contends that the Federal Arbitration Act ("FAA") applies to the arbitration agreement. Under section 2 of Title 9 of the United States Code, any contract involving commerce that agrees to be settled by arbitration shall go to arbitration. Plaintiff contends that FAA does not apply because he is a "worker[] engaged … in interstate commerce" within the meaning of section 1of Title 9 of the US Code. That section states in pertinent part, "nothing herein contained shall apply to contracts of employment of seamen, railroad employees, or any other class of workers engaged in foreign or interstate commerce."

The recent United States Supreme Court decision of *Flowers Foods, Inc. v. Brock* (2026) 600 U.S. ___ ("*Flowers*") is controlling in this case. *Flowers* held that, for the purposes of section 1 of Title 9 of the United States Code, "a worker who transports good on an intrastate leg of an interstate journey can qualify for § 1's exemption without" either crossing state lines or interacting with a vehicle that does. Although Plaintiff only delivers locally, he delivers packages that come from all over the country. (Inglemon Decl., ¶ 4). Plaintiff is the last part of an interstate chain of deliveries. Therefore, he meets the definition of a transportation worker for purposes of the exemption of 9 U.S.C. § 1. Accordingly, the FAA cannot be used to compel Plaintiff to arbitration.

When the FAA does not apply, then the arbitration agreement will be examined under the California Arbitration Act ("CAA") and California law. Thus, the arbitration agreement is enforceable under the CAA unless Plaintiff provides a defense to either the whole or part of the arbitration agreement.

Waiver of Class Action

In the case of *Garrido v. Air Liquide Industrial U.S. LP* (2015) 241 Cal.App.4th 833, 837-838, the court upheld the application of *Gentry v. Superior Court* (2007) 42 Cal.4th 443 to CAA cases and further stated that the court, "will not enforce provisions contained within arbitration agreements that pose significant obstacles to the vindication of employees' statutory rights." *Gentry* establishes four facts that must be considered in determining whether a class arbitration waiver is unenforceable. (*Gentry v. Superior Court*, *supra*, 42 Cal.4th at 463.) The four factors are the "modest size of the potential individual recovery, the potential for retaliation against members of the class, the fact that absent members of the class may be ill informed about their rights, and other real world obstacles to the vindication of class members' right to overtime pay through individual arbitration." (*Ibid*.)

First Factor: Modest Size of Potential Recovery

The current case involves recovery for missed meal and rest breaks, unpaid wages for off-the-clock work, and unreimbursed business expenses. (Inglemon Decl., ¶ 8.) Plaintiff estimates each individual employee is likely to recover a few hundred to a few thousand dollars. (*Ibid*.) Defendant contests the number presented by Plaintiff by the lack of explanation of how that number was reached. Defendant is correct that the evidence to back the specific amount is weak. However, Plaintiff does provide corroborating evidence of the likely low recovery by Plaintiff's inability to find an attorney to take his individual claim on a contingency basis. Accordingly, this factor weighs slightly in Plaintiff's favor.

Second Factor: Potential for Retaliation Against Members of the Class

Plaintiff raises the potential for retaliation against members of the class of employees covered by the class action. Although, as Defendant points out, Plaintiff is no longer an employee of Defendant. Plaintiff's experience can help the court determine if other potential class members would fear retaliation and, thus, be unwilling to sue on an individual basis. Further, no longer working for Defendant can potentially strengthen Plaintiff's standing as a class action or class arbitration representative because "it is 'reasonably presumed' potential class members still employed by [the] employer 'might be unwilling to sue individual or join a suit for fear of retaliation at their jobs.'" (*Franco v. Athens Disposal Co., Inc.* (2009) 171 Cal.App.4th 1277, 1296 as modified (Mar. 18, 2009), citing *Gentry v. Superior Court*, *supra*, 42 Cal.4th at 460.)

While working for Defendant, Plaintiff indicates he would have been unlikely to sue Defendant, if he had been aware of his rights. (Inglemon Decl., ¶ 7.) Plaintiff discussed pressure put on drivers who fell behind and that routes could be taken from one driver and given to another. (*Ibid*.) Defendant raises points comparable to those raised in *Gentry* about the existence of a policy against retaliation and the ability to report retaliation to management. (*Gentry v. Superior Court*, *supra*, 42 Cal.4th at 460-461.) As the California Supreme Court reasoned,

> "Given that retaliation would cause immediate disruption of the employee's life and economic injury, and given that the outcome of the complaint process is uncertain, we do not believe the existence of an antiretaliation statute and an administrative complaint process undermines Gentry's point that fear of retaliation will often deter employees from individually suing their employers."

(*Gentry v. Superior Court, supra,* 42 Cal.4th at 461.)

Based on Plaintiff's description on Defendant's workplace and case law, the second factor weighs in Plaintiff's favor.

Third Factor: Absent Members of the Class May be Ill Informed of Their Rights

Defendant argues that Plaintiff and other potential class members are aware of their rights. Defendant emphasizes the Employee Handbook provided to employees and Defendant verbally communicates employees' rights to meal and rest breaks. Finally, the employee's rights were described on the poster required by California's Department of Industrial Relations which Defendant displayed. (Mohamed Decl., ¶ 19 & Exh. 3.) Contrasting Defendant's description, Plaintiff indicates he was unaware of the nuances of overtime laws regarding payment of wages, and the laws regarding meal and rest periods. (Inglemon Decl., ¶ 6.) Plaintiff only learned of his rights after discussion with Plaintiff's attorneys. (*Ibid*.) Plaintiff also indicates that during the onboarding process, Plaintiff quickly signed documents and did not receive much time to review them due to Plaintiff's understanding that all the documents provided were required to begin the job. (*Id*., ¶ 10.) The Court finds it's reasonable that an employee could be ignorant of their rights, despite Defendant's efforts to disseminate that information. Other employees may be similarly situated to Plaintiff. Accordingly, the third factor weighs in favor of Plaintiff.

Fourth Factor: Other Real World Obstacles to Vindication of Class Member's Rights

Plaintiff points to the difficulties he had in both obtaining an attorney and the costs involved with individual arbitration. (Inglemon Decl., ¶ 9.) Plaintiff further raises the issue of the relatively small recovery not covering the costs for Plaintiff to pursue the case individually or with an attorney. (Id., ¶ 8-9.) Defendant argues that Plaintiff's determinations are conclusory and he does not adequately explain the basis for Plaintiff's reasoning. Plaintiff lacks an adequate basis for the specific amount of recovery. However, Plaintiff's inability to find an attorney to represent him on contingency and the inability to hire an attorney and on a cash basis be likely to cover the costs, are indicative of real world obstacles to the vindication of class member's rights. Accordingly, the fourth factor weighs in favor of Plaintiff.

Having analyzed the four factors, the factors weigh in favor of Plaintiff. Accordingly, the class action waiver is unenforceable and against public policy

Labor Code Section 229

Labor Code section 229 states in pertinent part, "Actions to enforce the provisions of this article for the collection of due and unpaid wages claimed by an individual may be maintained without regard to the existence of any private agreement to arbitrate." "[I]f a cause of action seeks to collect due and unpaid wages pursuant to sections 200 through 244, that action can be maintained in court, despite an agreement to arbitrate. (*Lane v. Francis Capital Management LLC* (2014) 224 Cal.App.4th 676, 684.) Labor Code section 226.7 "is a premium wage intended to compensate employees, not a penalty." (*Murphy v. Kenneth Cole Productions, Inc.* (2007) 40 Cal.4th 1094, 1114.)

Plaintiff argues that Labor Code section 229 applies to the causes of action seeking unpaid wages based on Labor Code section 204, 1194.2, 1197.1, and Labor Code sections 226.7 and 512 due to the recovery being defined as wages. Plaintiff is only partially correct. Labor Code section 299 only applies to Labor Code sections 200 through 244. (*Lane v. Francis Capital Management LLC*, *supra*, 224 Cal.App.4th at 684.) Accordingly, the claims based on Labor Code sections 204 and 226.7 are inarbitrable.

PAGA Claim

The First Amended Complaint also includes a PAGA cause of action. To the extent the agreement can be understood to waive a representative action, the California Supreme Court has found that waivers of PAGA representative actions in employee arbitration agreements are unenforceable. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 383-384, abrogated on other grounds in *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.) Accordingly, the arbitration of the plaintiff's individual PAGA claim is allowed under California law and is consistent with the call of the arbitration agreement to arbitrate representative claims. (*Id*. at p. 662.) Accordingly, the court grant the motion to compel arbitration of Plaintiff's individual PAGA claim.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling
Issued By: SMC on August 18, 2026.
(Judge's initials) (Date)